



income statements

- revenues
- Cost of goods sold (COGS)
- gross profit
- operating expenses
- tax Expenses
- Net income

Sub topics

- Beging inventory
- purchases +
- Ending inventory -
- Depreciating Expense
- SG & A
- Net profit before/After tax
- tax

Statement of retained earnings

- Beginning retained earnings
- Net income
- dividends
- Ending retained earnings

Balance Sheet

- Current Assets
- Fixed Assets
- current liabilities
- longterm liabilities
- Equity

Sub topics

- Cash
- A/R
- inventory
- LT Assets
- Accumulated Depreciation
- intangibles

income Statement $\$ (,000)$

Revenue

Sales

\$ 4,870

Cost of goods sold

Beginning inventory

420

Purchases

3,300

Cost of Goods sold FS

4,120

Ending inventory

910

Cost of goods sold

3,210

gross profit

1,660

Operating expenses

General and Admin

1,300

Depreciation of expenses

50

Total operating Expenses

1,350

Net profit before tax

310

Tax

80

Net profit After tax

230

Statement of retained earnings

retained earnings, Last year
+ Net Profit After tax
- Dividends
retained earnings, this year

610

840

30

810

$$810 + 30 = 230 = 610$$

net income

$$610 + 230 = 840$$

Balance Sheet

Assets

Cash	\$ 20
Marketable Securities	600
Accounts receivable	1,030
Inventory	910
Total current Assets	<u>2,560</u>
Property, Plants & equipment	
Land	600
Building and equipment	800
Accumulated depreciation	150

Liabilities

Accounts payable	680
Notes payable	670
Current Longterm debt	100
Income taxes payable	30
Total current liabilities	<u>1,480</u>
Longterm liabilities	
Mortgage loan	1,130
Shareholder loan	340

net property, plants & equipment	<u>1,250</u>	Total longterm liabilities	1,170
intangible assets	250	Total liabilities	2,950
goodwill		Shareholders equity	1,110
Total assets	4,060	Total liabilities + equity	4,060

$$\text{Asset} = \text{liabilities} + \text{equity}$$